

Module Title: Finance Fundamentals	Module Code: MAN00026C
Module Leader: Helena Pinto	Submission Deadline: 11:00:00am UK Time, 29th April 2026
Maximum Word Count: 1500 words	Weighting: 30%
Estimated feedback return: This will normally be within 25 working days of the initial submission.	

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1. Academic Regulations

You should note that:

- The **word count** includes the main text, including in-text reference citations and quotations - but excludes reference lists, appendices, title and contents page, abstract, tables, figures, legends and acknowledgements.
- The School has a policy of accepting **variations to the maximum assessment wordcount requirements of +/- 5%**. Where your work exceeds this maximum word count (including the +5% variation), markers mark up to the maximum, with words that are in excess of the maximum wordcount (+ 5%) not being marked. Where your work is more than 5% below the specified word count, it is likely that this will result in a lack of analytical depth or relevant content, which will be reflected in the mark assigned.

- **Submission deadline:** Work must be submitted by the dates specified. Where work is submitted after the deadline the following **penalties** will apply:
 - Up to one hour after the submission deadline, a penalty of five marks
 - Over one hour late but within 24 hours of the submission deadline, a penalty of ten marks
 - After the first 24 hours of the submission deadline, ten marks will be deducted for every 24 hours (or part thereof) that the submission is late for a total of five days, after which it is treated as a non-submission and given a zero mark.
- **Academic misconduct:** student guidance on academic misconduct, what it means and what will happen if you are investigated for an offense, is available in [a short video here](#)

2. If things go wrong (exceptional circumstances and self certification)

- If you are unable to complete your open assessment by the submission deadline, you can **apply for a deferral** either through the exceptional circumstances process or through self-certification. **Applications must be made before the deadline.** For further information and the claim forms, please refer to:
 - [Exceptional Circumstances affecting assessments](#) (for information on self-certification for assessments, please scroll to the bottom of this webpage)
- If you submit your open assessment on time but feel that your performance has been affected by exceptional circumstances, you may submit a retrospective Exceptional Circumstances Affecting Assessment claim form within 7 days after the published assessment submission deadline. If you do not submit by the deadline indicated without good reason, your claim will not be considered.

Please take proper precautions to safeguard your work and **remember to make backup copies of your data.** The University provides all its students with storage space on the University server, and you should save and back up any work in progress on this server on a regular basis. **Computer failure and theft of your equipment or storage media are not considered exceptional circumstances and deferrals cannot be granted for work lost for these reasons.**

3. Generative AI Guidance for this assessment

Artificial Intelligence (AI) models can be a powerful tool to support your learning. The University has [guidance on the use of AI in assessments](#). This details appropriate and inappropriate use of digital tools.

As per the academic [regulations](#), in all cases you must submit work that is your own, acknowledging any part of it that has been informed by another source – including content that is AI generated. By submitting your work, you are agreeing to the following statement:

I confirm that this assignment is my own work, except where I have acknowledged the use of works from other sources, including the use of any artificial intelligence (AI) tools, in accordance with what is allowable as described in the assessment brief.

Level of GAI - integration	Description	Y/N
No GAI	GAI must not be used (AI tools embedded within software for structure suggestions, checking spelling, grammar and referencing <i>may be used</i>, AI cannot be used to translate work) Your assignment should be produced using information sourced by you from your learning materials and academic sources and cited appropriately.	No*
GAI – Assisted idea development	Students are not allowed to create content in submitted assessments using GAI (AI tools embedded within software for structure suggestions, checking spelling, grammar and referencing <i>may be used</i>, AI cannot be used to translate work); GAI can only be used for pre-assessment tasks such as for brainstorming, idea generation, and structuring.	Yes
GAI – assisted editing	Students can use GAI to edit and enhance the clarity and quality of their work (AI tools embedded within software for structure suggestions, checking spelling, grammar and referencing <i>may be used</i>, AI cannot be used to translate work);. Students will write the full first draft of an assessment and GAI is used to edit this draft	No*
GAI - Task Completion, Human Evaluation	Students are permitted to use GAI for some or most elements of the task and demonstrate effective use of AI (AI tools embedded within software for structure suggestions, checking spelling, grammar and referencing <i>may be used</i>, AI cannot be used to translate work)	No*
Full - GAI	Students are expected to use GAI creatively and collaboratively to complete the task and demonstrate effective use of AI including the use of AI to translate work	No*

The following information provides specific guidance for this assessment about what level of AI use is appropriate for this assessment (the table below indicates the level of GAI integration:

Please note the following:

- AI should not be used as a substitute for your own knowledge, and you should never include any material that you do not understand and could not explain if asked.
- Not being able to explain your work when asked is likely to be a key factor when considering cases of academic misconduct related to AI.

4. Module Learning Outcomes assessed

The following learning outcomes are assessed in this task:

- Use the concept of the time value of money.
- Understand the organisational framework in which financial instruments are traded.
- Understand different sources of finance.

- Understand how to value bonds, some introductory models of shares valuation and the concept of risk and return.
- Understand how the main principles of finance apply to the finance and investment decision of an individual or family unit.

5. How will this assessment be marked?

The assessment will be marked using the assessment criteria relevant to your level of study. The expectations for an assessment to score at least 60% against this criteria are given below:

Knowledge and understanding of the topic	You should demonstrate good knowledge and understanding of the methods discussed in the module and used by individuals and companies to assess the financial outcomes of investment decisions. In Parts 3c and 4 you are expected to support your arguments with academic evidence but, you are not expected to provide more than 4 academic references overall.
Research, analysis and application	Using the relevant time value of money methods, you are expected to demonstrate that you can correctly assess the outcomes of different investments or finance alternatives and thoroughly perform and justify the relevant estimations. In some of the tasks (part 2 and part 4) you will need to collect data from appropriate sources- these will be websites from financial institutions (part 2) and from the relevant companies (part 4).
Critical evaluation, argument and problem solving	Your arguments should be logically developed and well analysed, and you should demonstrate good critical evaluation of the method you used. You should explain the estimations in detail and identify and discuss meaningfully the outcomes and when relevant the best investment/finance option. In part 3c you should discuss the relevant bonds and importantly critically assess the risks of these instruments (e.g. greenwashing). In part 4 you should critically discuss if pay packages observed in practice do align the interests of CEOs and shareholders.
Communication / academic convention (please note if you have a SSPs some elements may not be relevant to you)	Your arguments should be meaningful to the task and presented in a well organised and logical structure. When relevant, your arguments should be supported by evidence (depending on the context, this will be academic references or your estimations). You are not expected to present a formal outlined introduction or conclusion
Personal learning and reflection	NA

How is my work graded

Assessment grading is subject to thorough quality control processes. You can view a summary of these processes [here](#).

6. Assignment task

The main text for this assignment must be word-processed in Arial, font 12, double spacing. **The Excel spreadsheet used in question 2 d. Should be submitted at the same time as the word file.**

Answer all questions below. You are expected to provide well justified answers supported with references and evidence where relevant. **You should also submit and explain your calculations and all work should be typed.**

Part 1

Ellie graduated from university six years ago with a finance undergraduate degree. Although she is happy with her current job, she aims to become an investment banker and for this she is considering starting an MSc program. After considering different schools, she has narrowed down the choice to either “University of Great Thinking” or “University of Great Prospects”. Neither school will allow its students to work while enrolled in its programme.

Ellie now works at a money management firm and her annual salary at the firm is £35,000 and this is expected to increase at 4 per cent per year until retirement. She is 28 years old and expects to retire when she is 66. Her current job includes a fully paid life insurance plan, and her current average tax rate is 30 per cent. Ellie has a savings account with enough money to cover the entire cost of her studies, but she is of the opinion that since if she does the MSc, she loses the opportunity to get a salary while she is studying, the lost income from her job should be accounted as a cost to the MSc.

The MSc program at the “University of Great Thinking” requires two years of full-time enrolment. The annual fees are £20,000, payable at the beginning of each school year. Books and other supplies are estimated to cost £2,500 per year end. Ellie hopes that, after graduation from this University she will receive a job offer for about £55,000 per year, with a £25,000 signing bonus. The salary at this job will increase at 5 per cent per year and she expects to continue paying tax at the same rate.

The “University of Great Prospects” offers an accelerated one-year programme, with fees of £75,000 which will need to be paid at registration. Books and other supplies for the programme are expected to cost £2,500 (end of year). Ellie believes that this University reputation is less strong and this will be reflected in her job offers. Ellie thinks that she will receive an offer of £50,000 per year upon graduation, with a £20,000 signing bonus. The salary at this job will increase at 3.5 per cent per year and the tax rate is again expected to remain at its current level.

Ellie estimates that her living expenses will be £20,000 per year at either school or if she continues in her current job. The appropriate discount rate is 7% per cent.

- a. How does Ellie’s age affect her decision to do a master’s degree?
(5 Marks)
- b. From a financial perspective and assuming all salaries are paid at the end of each year, should Ellie do an MSc and if so, which? Your answer should ignore tax considerations.

- (15 Marks)
- c. Ellie believes that the only correct method to support her decision is to calculate the future value of each option. How would you evaluate this statement?
- (5 Marks)
- d. Assume now that the new employers will not pay her a bonus; what initial salary would Ellie need to be offered by the new employers to make her indifferent between attending the University of Great Thinking or staying at her current job?
- (10 Marks)
- Total: 35 Marks

Part 2

Using up to date financial information from the financial press or from a financial institution, answer (a) and (d) below.

- a. You want to buy a house valued at £450,000 and you have a deposit of £100,000. Identify a fixed rate mortgage and a tracker rate mortgage and compare the 2 types of mortgage loans. Calculate the monthly repayments in each case, assuming you will have a 25-year mortgage loan. Comment on your findings and suggest reasons why people might choose tracker rate mortgages over fixed rate mortgages.

Note that to estimate the monthly payment for the tracker rate mortgage you will have to assume a specific pattern of change for the interest rate, a single increase on the interest rate on a specific year is enough for illustration. You are required to assume that the tracker rate will increase by 0.25% after 2 years and stay at a fixed level from then onwards. For the fixed rate mortgage assume that the rate is constant over the 25 years. Clearly state in the answer the source of mortgage rates you are using.

(10 Marks)

- b. Explain what a lifetime ISA (Individual Savings Account) is and outline its basic characteristics. Explain also how this product can potentially help first-time buyers of residential property.
- (3 Marks)
- c. Describe the protection that savers in the UK have on their bank deposits and explain who is responsible for the rules relating to this protection in the UK.
- (2 Marks)
- d. Draw an amortization Table in excel which clearly shows how the debt will diminish over time for the fixed rate mortgage (assume the rate stays constant over the 25 years). You are required to submit the excel file. Also, submit the table and relevant workings in an appendix.

(10 marks)
Total: 25 Marks

Part 3

Refer to the Bond Data spreadsheet file on the assessment folder of the module page and use the Bond data allocated to your group number (Column 1) to answer a&b below.

- a. Ignoring the coupon estimate the bond's holding period return over the last 4 days of December 2025.
(2.5 marks)
- b. What is the annual current yield of the bond on the last day of December?
(2.5 marks)
- c. To try to support communities through the Covid pandemic a new class of Green/impact bonds were issued: Covid Bonds. Explain what green and Covid bonds are and what are the benefits and risks of these products for investors. Discuss also why some argue that these new types of bonds can be used for greenwashing and present your view on the discussion.

(8 marks)

Total: 13 Marks

Part 4

Choose a listed company from the FTSE100 list or from the country of one of the elements in your group. Download the company's more recent annual report from its website (the annual report must be in English). From the annual report, identify the CEO and briefly explain its compensation package. Briefly explain the main principles behind agency theory and discuss how/if the CEO pay package is in line with the solutions proposed by that theory to mitigate agency conflicts. If needed, make any necessary recommendations on improvements to the CEO package. You are expected to provide academic references and evidence to support your answer.

Total: 14 Marks

Part 5

INDIVIDUAL TASK

This part of the coursework requires individual work. As part of this module, you are requested to submit weekly reading assignments. There are 9 reading assignments. If you submit 65% of the reading assignments, you will be awarded 13 marks. Submissions below 65% will be adjusted by the proportion of total number of reading assignments submitted. As an example, a student that only submits 20% of the total reading assignments will be awarded 2.6 marks.

Total: 13 Marks